Q4 2025

Custom Managed Portfolios

Aviso 5-year Bond Ladder (Income)

Quick facts

Asset class:
Canadian Bonds

Management style:
Income[1]

Number of holdings:
10

Portfolio manager:
Aviso Wealth

Minimum investment:
$100,000

Inception Date:
01-Nov-2023

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What does the strategy invest in?

This strategy will invest in high quality bonds, with a focus on capital preservation. The portfolio will consist of ten bonds, diversified across Federal, Provincial, and Corporate segments of the Canadian bond market, with a systematic maturity profile on an approximate six month rolling ladder. As holdings mature, the proceeds are reinvested into longer duration assets.

Bond ladders are a proven fixed income investment strategy that can reduce the impact of interest rate changes and minimize reinvestment risk to support a more predictable portfolio return profile. When interest rates rise, investors can take advantage of the higher rate by reinvesting the proceeds of the last matured bond. On the other hand, should rates fall, a large portion of the portfolio can still benefit from the original (higher) rates that applied when the initial investment was made. Staying disciplined and reinvesting the proceeds from maturing bonds can help investors to ride out interest rate fluctuations.

The **Income** bond ladder strategy will optimize income generation by prioritizing investments in bond issues that are trading close to, at, or ideally above par value where possible. This will provide investors with a more material income stream reflected through higher coupon payments. This strategy is better suited towards registered accounts as coupon payments are fully taxable.

Current holdings

1.	ONT PROV 8% 02JUN26	9.8%
2.	RBC SR 5.235% 2NOV26	9.8%
3.	ONT PROV 7.6% 02JUN27	9.8%
4.	CDA HSG TR SR 3.6% 15DEC2027	9.8%
5.	CDA HSG TR SR 3.95% 15JUN2028	9.8%
6.	TD BK 4.68% 08JAN2029	9.8%
7.	CDA GOVT 5.75% 01JUN29	9.8%
8.	QUE PROV 6% 01OCT29	9.8%
9.	HYDRO ONE INC 7.35% 03JUN30	9.8%
10.	CDA HSG TR 2.85% 15DEC2030	9.8%

Portfolio attributes

Average yield to maturity (YTM)	Maturity weighted YTM	Average Current Yield (CY)	Maturity weighted CY	Average credit rating	Modified duration
2.9%	3.0%	5.2%	4.8%	AA-	2.46

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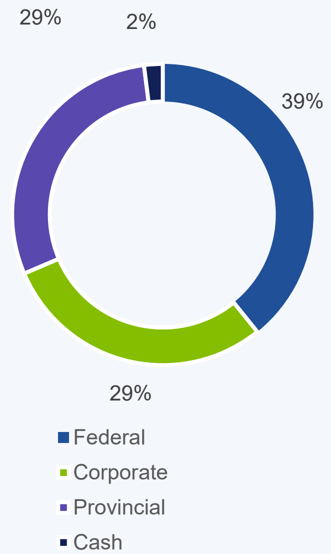
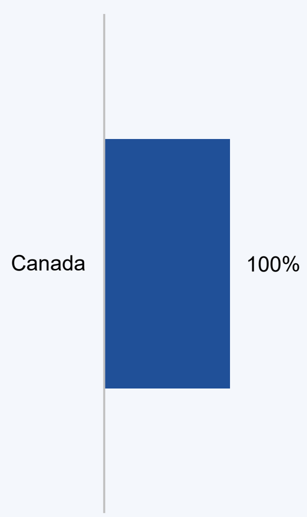
Sector breakdown



Target allocations

Asset class	Min	Target	Max
Federal Bonds	30%	39%	50%
Provincial Bonds	20%	29.5%	40%
Corporate Bonds	20%	29.5%	40%
Cash & cash equivalents	0%	2%	30%

Geographic allocation



Investment manager overview

The Aviso Investment Management team brings together top investment specialists and analysts, including four registered Portfolio Managers, eight CFA charter holders and more than 60 years of combined industry experience, to provide clients with a comprehensive range of professionally designed and managed financial products and solutions.

Investment philosophy

We adhere to a philosophy that encompasses the following principles:

1. Investment decisions are made in the best interests of our clients.
2. Investment decisions are made in accordance with the general level of risk appropriate for the specified mandate.
3. Investment decisions are made in accordance with defined prudent standards; and
4. Investment practices adhere to the principles of quality (or safety) of the investment and overall risk diversification.

Investment process and risk controls

The primary investment objective of the strategy is to generate a steady stream of high-quality income (in Canadian dollars) and to minimize trading cost. This strategy will follow a disciplined and systematic laddered investment strategy and will comprise only of high-quality bond holdings.

Credit Rating – the strategy will be invested in high quality bonds, with a credit rating minimum of S&P/Moody's/Fitch/DBRS credit rating of A-/A3/A-/A(low). Any of the holdings that are downgraded below this threshold will be sold and replaced with a similar maturing bond with the same intended characteristic.

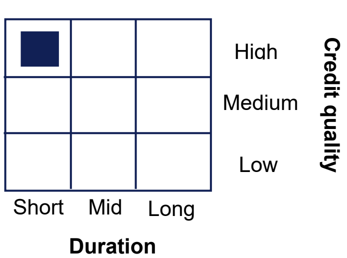
Maturity – the strategy will be constructed on a six-month ladder T + 5 year rolling basis.

Individual Security Holding Limits – the bond ladder is equally divided between all of the holdings; this will result in rolling consistent maturity interval; targeted size is 10% for each security.

Issuer – There are no issuer restrictions within the federal and provincial bond holdings provided that other criteria for ownership have been met; there can only be one corporate issuer per corporate bond holding within the portfolio at a given time.

Term limits – the maximum term to maturity at the time of purchase is 5.5 years; this will be the term of the last laddered issue, while providing a buffer if selection is limited.

Fixed income style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

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[1] Income: To generate a steady stream of income.

[2] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

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